



Statement of Issues

17 July 2025

Acciona – proposed acquisition of the East Rockingham Waste to Energy Project

Purpose

1. The East Rockingham Waste to Energy project (the **East Rockingham Project**) in Western Australia is in administration and receivership. Cor Cordis, the receivers, are undertaking a sale process.
2. Acciona is an interested party participating in that sale process and proposes to acquire the East Rockingham Project.
3. This Statement of Issues:
 - gives the Australian Competition and Consumer Commission's (**ACCC**) preliminary views on competition issues arising from the proposed acquisition,
 - identifies areas of further inquiry, and
 - invites interested parties to submit comments and information to assist our assessment of the issues.
4. Statements of Issues do not refer to confidential information provided by the parties or other market participants and therefore may not fully articulate the ACCC's preliminary position.

Overview of ACCC's preliminary views

5. In considering the proposed acquisition, the ACCC applies the legal test set out in section 50 of the *Competition and Consumer Act 2010* (the **CCA**). In general terms, section 50 prohibits acquisitions that would have the effect, or be likely to have the effect, of substantially lessening competition in any market.
6. The ACCC divides its preliminary views into three categories, 'issues of concern', 'issues that may raise concerns' and 'issues unlikely to raise concerns'. In this Statement of Issues there is one 'issue of concern' and two 'issues unlikely to raise concerns'.

Issue of concern – unilateral effects in the supply of putrescible waste disposal services

7. The ACCC's preliminary view is that the proposed acquisition is likely to have the effect of substantially lessening competition in the supply of putrescible waste disposal services in the Perth and Peel region by removing competition between the East Rockingham Project and Kwinana Waste to Energy (**Kwinana WtE**) facility.
8. The East Rockingham Project and Kwinana WtE facility are close competitors that are the only two near-operational WtE facilities in Perth and would be under common ownership if Acciona is the successful bidder.
9. The ACCC is concerned that this would allow Acciona to increase prices or reduce service quality at these facilities post-acquisition. The ACCC is closely considering the extent to which committed capacity at the two facilities may limit price and non-price effects of the proposed acquisition. Further, the ACCC is examining the competitive constraint that landfills may impose, including whether that may vary by customer.

Issues unlikely to raise concerns

10. **Unilateral effects in the supply of wholesale electricity to the Wholesale Electricity Market** - The ACCC's preliminary view is that the proposed acquisition is unlikely to substantially lessen competition in the supply of wholesale electricity to the Wholesale Energy Market (**WEM**). The WEM supplies electricity to the south-west of Western Australia. The proposed acquisition would amount to an insignificant increase in concentration in this market.
11. **Unilateral effects in the supply of fly ash** – The ACCC's preliminary view is that the proposed acquisition is unlikely to substantially lessen competition in the supply of fly ash in any market. Together, the Kwinana WtE and East Rockingham WtE facilities will face significant constraint in the supply of fly ash by other generators of fly ash, namely power stations across Australia and foreign imports.

Making a submission

12. The ACCC invites submissions from interested parties, particularly on the following key issues:
 - the closeness of competition between East Rockingham and Kwinana WtE in the supply of putrescible waste disposal services in the Perth and Peel region, taking into account the specific nature of the WtE services offered to collections customers
 - the degree of competitive constraint from other suppliers of putrescible waste disposal services in the Perth and Peel region on Acciona post-acquisition, and in particular, the extent to which the price and quality of waste disposal services offered by landfill operators constrain the price and quality of waste disposal services offered by WtE facilities
 - the likelihood of new entry or expansion in the supply of putrescible waste disposal services and, in particular WtE facilities in the Perth and Peel region in response to a lessening of competition from the proposed acquisition

- the likelihood of Acciona increasing prices or reducing service quality for putrescible waste disposal services for commercial and industrial (C&I) and municipal customers post-acquisition
 - the likely extent to which the East Rockingham and Kwinana facilities will compete in the future in the absence of the proposed acquisition.
13. Interested parties should provide submissions by **5pm (AWST) on 31 July 2025**. Responses may be emailed to mergers@accc.gov.au with the title: Submission re: Acciona/East Rockingham WtE. If you would like to discuss the matter with ACCC staff or have any questions about this Statement of Issues, please email mergers@accc.gov.au.
14. The ACCC anticipates making a final decision on **11 September 2025** however, this timeline can change. To keep up with possible timing changes and to find relevant documents, interested parties should visit the Mergers Register on the ACCC's website at www.accc.gov.au/publicregisters/mergers-registers/public-informal-merger-reviews.

Confidentiality of submissions

15. The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, please identify any confidential information that is provided to the ACCC. Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

About ACCC 'Statements of Issues'

16. A Statement of Issues is not a final decision about a proposed acquisition. A Statement of Issues outlines the ACCC's preliminary views and identifies further lines of inquiry.
17. A Statement of Issues provides an opportunity for all interested parties (including customers, competitors, shareholders and other stakeholders) to ascertain and consider the primary issues identified by the ACCC. It is also intended to provide the merger parties and other interested parties with the basis for making further submissions should they consider it necessary.

The parties

The acquirer: Acciona

18. Acciona is a global infrastructure developer publicly listed in Spain. In Australia, Acciona has various subsidiaries and is currently developing several infrastructure projects across the transport, water and energy sectors.
19. Acciona holds a 10% non-controlling equity interest in the East Rockingham Project and is a creditor of the East Rockingham Project including under a loan agreement, having acquired the East Rockingham Project's secured debt from other creditors at the end of 2024. Acciona was also the engineering,

procurement and construction (**EPC**) contractor prior to the Project entering administration, and was recently reappointed under a new EPC contract.

20. Acciona also owns and operates Kwinana WtE located in the south of Perth, which it acquired in March 2024. It is the first large-scale facility in Australia that will process residual waste for energy recovery. The ACCC understands that Kwinana WtE is expected to be fully operational later this year. It is approved to process up to 460 kt/year of residual waste and generate approximately 38 MW of electricity to the grid.
21. Acciona does not have any other interests in the waste industry in Western Australia.

The target: East Rockingham WtE

22. The East Rockingham Project is located in East Rockingham, south of Perth, and will process residual waste for energy recovery once operational, which is likely to be no earlier than mid-to-late 2026.
23. It is approved to process 300 kt/year of residual waste (including from municipal councils and commercial and industrial waste streams) and generate 29 MW of electricity to the grid per hour.
24. The Project is currently in voluntary administration and receivers are undertaking a sale process – KordaMentha¹ was appointed as administrator in October 2024, and Cor Cordis² (appointed in January 2025) are currently the receivers.
25. Prior to entering administration and receivership, the Project was ultimately owned by a consortium of shareholders being John Laing (40%), Masdar Tribe (40%), Acciona (10%), and Kanadevia Inova, formerly named Hitachi Zosen Inova AG (10%). Kanadevia Inova and Acciona were the joint EPC contractors on the East Rockingham Project.

Industry background

Waste disposal services

26. Waste can be “putrescible” or “non-putrescible”.
 - **Putrescible waste** contains organic matter capable of being decomposed by microorganisms. It is the main type of waste relevant to the proposed acquisition.
 - **Non-putrescible waste** is primarily non-organic waste such as paper, cardboard, plastics and metal, and may be recyclable or non-recyclable.
27. There are multiple activities conducted by the waste management industry. For putrescible waste, the key activities are:
 - **Collections services** involve collecting and transporting waste to a disposal facility.

¹ <https://kordamentha.com/about>

² <https://www.corcordis.com.au/about>

- **Disposal services** involve operating a disposal facility that receives waste from companies that provide collections services, or other waste transport services. Disposal facilities include transfer stations, landfills and waste to energy facilities in the Perth and Peel region.

Waste policy in Western Australia

28. Western Australia's Waste Strategy is underpinned by the state's waste management hierarchy ('waste hierarchy'), which ranks the desirability of resource management options. The waste hierarchy provides that waste should be avoided but if it is produced, it should first be recovered (including through reuse, recycling and energy production) before being disposed of.³ As such, disposal of waste at landfill sits at the bottom of the waste hierarchy and is generally considered the least environmentally desirable option.
29. State governments often impose landfill diversion targets and levies to disincentivise waste disposal at landfills. Waste disposed at landfills in the Perth metropolitan region is subject to a landfill levy, which is \$85 per tonne for 2024-25. This typically represents approximately half to one-third the price of a landfill's 'gate fee' (the price of waste disposal at a landfill based on weight or volume).⁴ Comparable waste levy rates in NSW, QLD, SA and VIC are all higher than \$120 per tonne.
30. The Waste Strategy aims for no more than 15% of Perth and Peel regions' waste to be disposed to landfill by 2030.⁵ Market feedback indicates that this target signals to councils and industry to seek alternatives to landfills where available. The ACCC understands some progress has been made toward meeting this target.
31. The *State Waste Infrastructure Plan* for Western Australia (**SWIP Report**), published in May 2024 by the Department of Water and Environmental Regulation, predicts that Western Australia's population will rise from 2.7 million in 2020 to 4.2 million in 2050.⁶ Even if waste avoidance targets are met in 2030, it is projected that waste generation (both putrescible and non-putrescible) in Western Australia will increase from 5.90 million tonnes in 2020 to 7.89 million tonnes in 2050.⁷ To treat this volume of waste, the SWIP Report finds that further infrastructure will be required to landfill over 1 million tonnes of waste and apply energy recovery to 942,000 tonnes.

Waste to energy facilities

32. WtE facilities provide energy recovery services – that is, they receive and thermally treat residual putrescible waste (which cannot be reused or recycled and so would otherwise be disposed of at landfill) to generate electricity for wholesale energy markets. Waste disposed at WtE facilities is not subject to the landfill levy.

³ Waste Authority WA, [Position Statement on the Waste Hierarchy: Getting our Waste Sorted](#), September 2020, p 5. See also *Waste Avoidance and Resource Recovery Act 2007 (WA)* s 5(1)(c).

⁴ Government of Western Australia, [Waste levy rate schedule](#), 26 June 2023.

⁵ Waste Authority WA, [Waste Avoidance and Resource Recovery Strategy 2030](#), 24 October 2019, p 33.

⁶ Western Australian Government, [State waste infrastructure plan – Western Australia](#), May 2024, p 64.

⁷ Western Australian Government, [State waste infrastructure plan – Western Australia](#), May 2024, p 64.

33. This process also produces smaller amounts of other offtakes such as fly ash, which can be used as an aggregate in construction materials such as road base. Fly ash is required to be treated before it can be used.
34. WtE technology is relatively novel in Australia, and the East Rockingham Project and Kwinana WtE are the only two facilities in Western Australia near full operation. The ACCC understands that there are no other WtE facilities in development in Western Australia, noting that it is a relatively novel technology in Australia and demand may increase as it develops.

Landfill

35. In 2022-2023, 37% of all waste (both putrescible and non-putrescible) generated in Western Australia was disposed of in landfills.⁸ Landfill currently accounts for all waste which is not recovered through methods such as recycling or organic waste processing.
36. While landfills also vary in size, landfills are typically capable of accepting several hundred thousand tonnes of waste per year, which is comparable in size to WtE facilities and generally much larger than transfer stations.
37. Landfills are licenced to accept certain types of waste. Putrescible waste is accepted by Class II / III landfill sites under the *Environmental Protection Regulations 1987* (WA).⁹
38. There are eight major putrescible waste landfill sites in the Perth and Peel region, listed in **Table 1** below. These facilities are owned by regional councils (which represent member municipal councils), individual municipal councils and private operators (usually as part of an integrated waste management business). These landfills are dispersed across the urban fringe of the Perth metropolitan area and in nearby regional areas.

Other putrescible waste disposal facilities

39. The following are types of waste collection, treatment, sorting and pre-processing facilities that may be capable of accepting putrescible waste:
 - **Waste Transfer Stations (WTS)** are aggregation points for bulk quantities of waste prior to recycling or final disposal. At these facilities, putrescible waste is collected, consolidated and stored before transportation in bulk to a final disposal destination, such as a landfill or WtE facility, and as such, can reduce overall transport costs. There are 11 putrescible WTS in the Perth and Peel region which are operated by regional councils, individual local councils and private operators (usually as part of an integrated waste management business).
 - **Resource recovery facilities (RRFs)** refer to waste treatment facilities that incorporate alternative waste technologies to recover resources from waste, which is generally any waste processing technology designed to recover resources from a mixed waste stream. Putrescible waste from the municipal sector may be treated by various alternative waste treatment processes,

⁸ WA Waste Authority, [Waste and recycling trends in Western Australia 2022-23 – Data and trends report](#), September 2024, p 6.

⁹ *Environmental Protection Regulations 1987* (WA) sch 1 category 64.

which may still yield residual waste to be disposed of in landfill or WtE facilities.

- **Material recovery facilities (MRFs)** are facilities for sorting and pre-processing materials from the waste stream for resource recovery. MRFs may be 'clean' (source-separated recyclables are sorted into different material types for recycling) or 'dirty' (mixed waste is sorted to separate recyclable and non-recyclable waste). Both types of MRFs produce non-recyclable residue, which is disposed of in putrescible landfill or WtE facilities.¹⁰

Customers

40. WtE facilities, landfills and other waste disposal facilities service the following customers:
- **Municipal councils**, which typically collect their own waste (or use third-party collections providers) and conduct public tender processes to procure disposal services, whether individually or through regional council groups. If a council or council group engages a third-party collections provider, they are generally able to direct the provider to dispose of the waste at a nominated facility which the council has contracted with. Some regional council groups also operate their own disposal facilities, such as landfills or transfer stations. East Rockingham and Kwinana WtE both have long-term waste supply agreements with regional council groups as well as separate agreements with local councils for the supply of waste.¹¹
 - **C&I customers**, which are generally C&I collections companies but can include businesses who produce waste. Businesses that generate C&I waste often contract directly with waste collections service providers. After C&I waste is collected, the waste collections operator will generally choose which facility to dispose of the waste at. C&I collections companies generally have tipping agreements with several waste disposal facilities, which are usually non-exclusive, and may be a mix of long or short-term agreements or spot market arrangements.
 - **Individuals**, who may directly dispose of their waste at landfill and other facilities, including transfer stations. However, WtE facilities are not generally open to the public.
41. When operational, the East Rockingham WtE Project and Kwinana WtE will accept putrescible waste drawn from both municipal and C&I waste streams.
42. The ACCC understands that some customers of putrescible waste disposal services – particularly municipal councils and large commercial collections companies – may prefer disposal via WtE facilities rather than landfills due to sustainability targets, which often include landfill diversion as a metric.

¹⁰ Western Australian Government, [State waste infrastructure plan – Western Australia](#), May 2024, p 19.

¹¹ These agreements can be on a flexible 'waste arising' basis where a customer is charged for the actual volumes that are disposed of at the facility, or a 'committed volume' basis, which operates as a take-or-pay style volume commitment.

Providers of putrescible waste disposal services in the Perth and Peel region

43. There are a number of providers of putrescible waste disposal services in the Perth and Peel region. As discussed below, landfills may be a possible alternative to WtE for some WtE customers. However, other types of putrescible disposal facilities such as transfer stations, RRFs and MRFs do not appear to compete directly with WtE facilities. It is noted that transfer stations can be an important part of the consideration to use a specific WtE facility or landfill as they can reduce the cost of transporting waste to a distant disposal facility. WtE and landfills that accept putrescible waste are shown in **Table 1** and are owned and/or operated by:

- **Commercial waste management companies** – Veolia, Cleanaway, and Instant Waste Management each operate a landfill and other putrescible waste disposal facilities and additionally provide waste collection services in the Perth and Peel region. Veolia operates the North Bannister landfill, as well as several transfer stations; Cleanaway operates the Dardanup landfill and one transfer station; Instant Waste Management operates the Salt Valley Road landfill and two transfer stations.¹² The ACCC notes that Veolia was the operator of the Kwinana WtE plant and, prior to the East Rockingham Project entering receivership, was going to operate the East Rockingham Project (once operational) under operations and management (O&M) agreements.
- **Municipal councils** – several municipal councils and municipal council groups operate disposal facilities capable of accepting putrescible waste in the Perth and Peel region, including landfills, waste transfer stations, MRFs and RRFs. These councils typically provide putrescible waste disposal services to their residents, other councils and, to a lesser extent, businesses.

Table 1: Putrescible waste disposal facilities in the Perth and Peel region

Operator	Facility	Facility Type	Licenced putrescible waste capacity (ktpa)
Waste to energy facilities			
<i>[In receivership]</i>	East Rockingham WtE	WtE	300
Acciona	Kwinana WtE	WtE	460
Landfills			
City of Rockingham	Millar Road Landfill Facility	Landfill	450
Veolia	North Bannister landfill	Landfill	400
Mindarie Regional Council	Tamala Park Waste Management Facility	Landfill	365
Eastern Metropolitan Regional Council	Red Hill Waste Management Facility	Landfill	360
Cleanaway	Dardanup Landfill	Landfill	350

¹² Remondis operates an MRF in Canning Vale.

City of Cockburn	Henderson Waste Recovery Park	Landfill	200
Instant Waste Management	Salt Valley Road Landfill	Landfill	150
City of Armadale	Hopkinson Road Landfill	Landfill	100
Instant Waste Management	<i>Great Southern Landfill</i>	<i>Proposed landfill</i>	<i>[250]</i>

The proposed transaction

44. The East Rockingham Project is in administration and is managed by receivers Cor Cordis, who are currently undertaking a sale process.
45. Acciona is an interested party participating in that sale process and proposes to acquire the East Rockingham Project.

Areas of overlap

46. As noted above, Acciona currently owns and operates the Kwinana WtE in the south of Perth. Following the proposed acquisition and the completion of the East Rockingham Project, Acciona will effectively control the only two WtE facilities in the Perth and Peel region, and Western Australia more broadly.
47. We are considering three relevant areas of overlap between the two facilities:
 - the supply of putrescible waste disposal services in the Perth and Peel region, noting that the East Rockingham Project and Kwinana WtE are the only two near-operational WtE facilities in Western Australia
 - the supply of electricity to the WEM for the South West Interconnected System (SWIS), the main power system of Perth
 - the supply of fly ash, which is a byproduct of waste-to-energy production.

Future with and without the acquisition

48. In assessing a proposed acquisition under section 50 of the CCA, the ACCC considers the effects of the acquisition by comparing the likely future state of competition if the acquisition proceeds (the 'with' position) to the likely future state of competition if the acquisition does not proceed (the 'without' position) to determine whether the proposed acquisition is likely to substantially lessen competition in any relevant market.
49. As outlined above, the receivers are undertaking a competitive sale process in which a number of parties may express interest in purchasing the East Rockingham facility.
50. If Acciona acquires the East Rockingham facility, then the only two WtE facilities in Perth, and Western Australia more broadly, would be under common ownership.
51. The ACCC's preliminary view is that in the absence of the proposed acquisition, the East Rockingham facility would most likely be sold to another purchaser (or

consortium of purchasers), and the Kwinana WtE and East Rockingham WtE would have two separate owners.

Market definition

52. The ACCC's starting point for considering which markets will be affected by the proposed acquisition is to identify the areas of overlap between the products actually or potentially supplied by the merger parties. The ACCC then considers other actual or potential suppliers of those products, as well as what other products constitute sufficiently close substitutes to provide a significant source of constraint on the merged entity.
53. Once operational, the East Rockingham Project and Kwinana WtE facility will constitute the only two WtE facilities in the Perth and Peel regions. As such, they will both supply putrescible waste disposal services to C&I customers and municipal councils in the Perth and Peel region, and process waste to deliver electricity into the WEM. Both facilities will also supply fly ash, which is a byproduct of the pyrolysis process.
54. For the purposes of this Statement of Issues, the ACCC is currently considering the impact of the proposed acquisition on competition in the supply of putrescible waste disposal services in the Perth and Peel region.
55. Given that waste disposal at WtE facilities does not attract the landfill levy, and to the extent that customers value the ability to dispose of putrescible waste via WtE facilities over landfills for non-financial reasons, the ACCC considers that the parties represent each other's closest competitor. Therefore, the ACCC notes that a critical consideration in the assessment is likely to be the closeness of competition between the East Rockingham Project and Kwinana WtE, and the extent to which both facilities are likely to be constrained by other suppliers of putrescible waste disposal services, particularly landfills, as discussed below.
56. In this context, the ACCC is also considering the impact of the proposed acquisition on a narrower market for the supply of energy recovery services in the Perth and Peel region. The ACCC notes that if the proposed acquisition proceeds, Acciona would be the sole supplier of these services given its ownership of the only two WtE facilities in the region.

Putrescible waste disposal services

Product dimension

57. The ACCC has previously considered putrescible waste disposal to be in a separate market from non-putrescible waste disposal, primarily due to licensing requirements under the *Environmental Protection Act 1986* (WA). While putrescible waste disposal facilities are capable of accepting non-putrescible waste, putrescible waste can only be disposed of at facilities that are licensed to accept putrescible waste.
58. The ACCC is considering the extent to which there may be substitution between putrescible waste disposal services offered by WtE facilities and alternative disposal facilities such as landfills, including for different segments of customers. The ACCC views that WtE may compete more closely with each other than with landfills because:

- **Some customers have expressed a strong preference for WtE facilities over landfills** – Energy recovery services are considered a more environmentally desirable waste disposal method than landfill disposal, which is the least preferred option. The ACCC understands that many large C&I businesses and municipal councils have sustainability targets, and landfill diversion is a key metric. Disposal at WtE facilities can satisfy these targets but disposal at landfills cannot. Additionally, some customers specifically request waste disposal at WtE facilities from collections companies as part of their putrescible waste collection agreements.
- **Energy recovery services face a more favourable government policy position** – Government support for energy recovery services, as well as the levy on waste disposed at landfills, may limit the extent to which alternative disposal facilities can effectively compete with WtE facilities. This constraint may weaken if the landfill levy increases, as WtE facilities do not attract the levy. The WA Government's Waste Strategy includes a target that no more than 15% of waste in the Perth and Peel region is sent to landfill by 2030. Further, WtE facilities may be eligible for government assistance separate from landfills – the East Rockingham Project and Kwinana WtE both received funding from the Clean Energy Finance Corporation and the Australian Renewable Energy Agency.

59. Although transfer stations, MRFs and RRFs all have the regulatory and physical capability to accept putrescible waste, these facilities, in the Perth and Peel region do not appear to compete directly with landfills or WtE facilities for putrescible waste volumes from either municipal or C&I customers. This may reflect the slightly different functionality of these facilities – although they can aggregate or process putrescible waste, residual putrescible waste will ultimately need to be disposed at a landfill or WtE facility.
60. The ACCC is examining the strength of the customer preferences, in particular the degree to which customers are willing to pay more for putrescible waste disposal services at WtE facilities compared to landfills, and how this differs across and within customer types. The ACCC is also continuing to consider whether there is a narrower market for WtE waste disposal, and whether that may differ for municipal waste and for C&I waste. The ACCC notes that it is considering customers' preferences as revealed through the competitive alternatives they consider and resulting prices, rather than solely the preferences that customers express.
61. On the basis of the currently available information, the ACCC considers the closeness of competition between the two facilities, as discussed in paragraphs 70 to 75, may be the critical factor in its competition assessment.

Geographic dimension

62. The ACCC's preliminary view is that the geographic dimension of the market for putrescible waste disposal services is likely to be within the Perth and Peel region of Western Australia.
63. The ACCC understands that the distance between waste collection sites and disposal facilities is an important dimension of competition between disposal facilities. This is because the cost of transporting waste between collection sites, disposal sites, and collection truck depots is a significant variable in the overall cost of waste disposal. Transport costs include labour, fuel, tolls and associated truck maintenance costs.

64. The ACCC is continuing to consider the extent to which other putrescible waste disposal facilities in the Perth and Peel region are close substitutes for the East Rockingham Project and Kwinana WtE.
65. Additionally, the ACCC understand that the geographic nature of collection routes for municipal customers and C&I customers can differ, with municipal customers having collection routes for specific and relatively narrow geographic regions compared to C&I customers. This may impact the degree to which different disposal facilities compete for these customers, as facilities which are located closer to the waste collection location may compete more closely with one another for that waste. The ACCC is therefore continuing to consider whether there may be separate markets for the supply of putrescible waste disposal services for municipal waste and for C&I waste.
66. The ACCC also notes that landfill levy applies only to waste received for disposal at licensed landfills in the Perth metropolitan region and waste collected within the Perth metropolitan region that is disposed of at licensed landfills outside the metropolitan region, and is considering how this may impact the geographic market definition.

Questions for market participants

The ACCC invites comments from market participants on its preliminary views about the definition of the relevant market(s). In particular market participants may wish to comment on:

- the extent to which landfills are suitable alternatives for WtE facilities, including with reference to location, capacity, gate fees, levies and environmental considerations
- the appropriate geographic market, including whether it is narrower or broader than the Perth and Peel region and how that may vary by type or location of customer
- the strength of customer preferences between landfills and WtE facilities, (including differences between C&I and municipal customers), including
 - whether customers are willing to pay more for disposal services at WtE facilities than at landfills
 - how those preferences may change in the future
 - any examples of prices offered and/or agreed to with WtE facilities, the factors that informed those prices (including any non-price contract terms), and the alternative offers from other disposal facilities that were considered alongside the WtE offer.

Issue of concern: Unilateral effects in the supply of putrescible waste disposal services in the Perth and Peel region

67. The ACCC's preliminary view is that the proposed acquisition is likely to substantially lessen competition in the supply of putrescible waste disposal services in the Perth and Peel region by removing the close competition

between the East Rockingham WtE and Kwinana WtE facilities, allowing Acciona to increase prices or reduce service quality at these facilities post-acquisition.

68. As explained in the following sections, this is because:
- East Rockingham WtE and Kwinana WtE are close competitors in the supply of putrescible waste disposal services and particularly close competitors in the supply of energy recovery services
 - As noted above, some local council customers appear to value WtE services more highly than waste disposal services supplied by landfill operators, and this is reinforced by favourable government policy towards WtE facilities
 - alternative suppliers of putrescible waste disposal services may be unable to effectively constrain Acciona post-acquisition
 - barriers to entry are very high and new entry or expansion sufficient to constrain the merged entity is unlikely
 - post-acquisition, Acciona may be able to increase prices and/or reduce service quality at these facilities.
69. As noted at paragraph 56 above, the ACCC is also considering the impact of the proposed acquisition on a narrower market, in which these concerns would be elevated. Further, the ACCC is examining the extent of uncontracted capacity and the impact of the proposed acquisition as available capacity changes.

The East Rockingham Project and Kwinana WtE are close competitors

70. The East Rockingham Project and Kwinana WtE are each other's closest competitors in the supply of putrescible waste disposal services.
71. The facilities offer near-identical services and once fully operational, will be the first two providers of WtE services in Western Australia. The ACCC also understands that they have competed directly to secure waste from the same pool of customers.
72. The ACCC views that WtE facilities may compete more closely with each other than with landfills given that they face different policy environments and customers have expressed a preference for WtE facilities over landfills, as outlined above (paragraph 58).
73. Moreover, the East Rockingham Project and Kwinana WtE are geographically very close, being located only 7km apart. As outlined at paragraph 63, the location of a waste disposal facility is a key consideration for customers of putrescible waste disposal services given its direct correlation with transport costs. As such, the ACCC considers that the East Rockingham Project and Kwinana WtE are likely to impose a relatively strong competitive constraint on each other for municipal and C&I customers whose waste volumes are located close to these facilities compared to alternative disposal facilities that are located further away.
74. The ACCC also notes that operators of WtE facilities may have additional sources of revenue to other suppliers of putrescible waste disposal services. While landfill operators may only value residual putrescible waste as a source of revenue from gate fees, for owners of WtE facilities it has additional value as an input into the generation of electricity for sale to third parties. The ACCC further understands that WtE facilities may have a lower marginal cost of production. Given additional sources of revenue and lower variable costs, WtE facilities may

offer a range of disposal prices. For example, WtE facilities may offer prices some amount lower than a comparable landfill price in order to assure access to larger volumes of more favourable quality waste (some waste is more favourable for energy generation, based on calorific value or consistency of content) over longer timeframes.

75. The ACCC understands that the East Rockingham and Kwinana facilities have committed significant capacity through long-term contracts and are capacity constrained to some extent. As such, the ACCC is considering the extent of uncommitted waste volumes, and the degree to which the facilities are likely to compete with each other in the future. The ACCC notes that the relevant period for its competition assessment may be relatively long, given the lifespan of these facilities and length of contracts.

Alternative waste disposal service providers may be unlikely to constrain the combined entity

76. The ACCC considers that alternative providers of putrescible waste disposal services may be unlikely to sufficiently constrain Acciona from increasing the price or decreasing the quality of the service offered at the East Rockingham Project or Kwinana WtE.
77. Although landfills may be an alternative to WtE facilities for some customers, the ACCC views that they may impose a weaker competitive constraint on the East Rockingham Project and Kwinana WtE than the WtE facilities impose on each other.
78. As discussed above, some customers have expressed a strong preference for WtE facilities given it is a more environmentally desirable disposal method than landfill. Further, the ACCC understands that industry participants anticipate that the landfill levy will continue to increase above its currently scheduled increases, in line with trends of eastern states and the WA Government target for no more than 15% of total waste generated in the Perth and Peel region to be disposed of in landfill by 2030. An increasing landfill levy is likely to further reduce the effectiveness of the competitive constraint provided by landfills on WtE facilities into the future. However, the ACCC notes that the WA Government has not announced any plans for an increase to the levy.
79. The ACCC understands that several existing landfills in the Perth and Peel region are estimated to close by 2030, including Instant Waste's Opal Vale landfill, Mandurah Regional Council's Tamala Park landfill, City of Cockburn's Henderson Road landfill, and City of Armadale's Hopkinson Road landfill. These facilities cumulatively represent 800ktpa of licenced putrescible waste capacity and their removal indicates a reduction in the competitive constraint provided by landfill on the two facilities (unless replaced).
80. As outlined above, competition between WtE facilities may be stronger than with landfills. The ACCC is considering whether WtE facilities may be offering pricing below that of landfills as a result of competition between the two facilities for a particular customer. The ACCC is considering whether this competition may be lost if the proposed acquisition proceeds.
81. The ACCC is more generally examining the extent to which the price and quality of waste disposal services at WtE facilities is determined by the price and quality of waste disposal services offered by landfills, and how the strength of this relationship may change into the future.

82. Based on information received to date, the ACCC considers that WTS, RRFs and MRFs do not appear to compete closely with landfills and WtE facilities in the Perth and Peel region.

The likelihood of new entry or expansion is low

83. The ACCC's preliminary view is that there are significant barriers to entry and expansion in putrescible waste disposal services and, in particular, WtE facilities and landfills. The ACCC considers there is a low likelihood of timely new entry or expansion on a sufficient scale to constrain Acciona post-acquisition.
84. Given the long period over which the ACCC may consider competitive effects (as noted in paragraph 75), the ACCC is considering any likely potential change in competitive dynamics over that timeframe, such as from new entry, how that might differ with and without the proposed acquisition, and the impact it may have on total WtE capacity and related market competitiveness.

Barriers to entry

85. Market participants consistently identified barriers to entry in establishing putrescible waste disposal facilities as very high, including:
- high sunk costs
 - regulatory requirements to establish putrescible waste disposal facilities
 - long timeframes between proposal and operation of putrescible waste disposal facilities, particularly for WtE facilities
 - for WtE facilities, the need for committed municipal waste volumes.

Likelihood of new entry or expansion

86. The ACCC considers that timely new entry on a scale sufficient to prevent a substantial lessening of competition appears unlikely. The ACCC is continuing to consider the likelihood of existing facilities (including both landfills and the WtE facilities) expanding their putrescible waste capacity.
87. The ACCC further notes that the nature of demand, including customer preferences, and expected profitability—and therefore likelihood—of a new WtE facility may change in the period over which the ACCC is considering possible competitive effects of the proposed acquisition.
88. The ACCC considers it unlikely that further WtE facilities will be operational within the next 10 years, even if a further facility were to be approved for Perth or surrounds. The ACCC understands that the City of Wanneroo has identified the potential for a WtE facility at its proposed Neerabup Resource Recovery Precinct, but it is currently undergoing a feasibility study.¹³
89. The ACCC has identified only one example of likely future new entry in putrescible waste disposal facilities, which is not a WtE facility – Instant Waste has proposed a new landfill approximately 80km east of the Perth CBD, with a proposed capacity of 250ktpa (the Great Southern Landfill). The ACCC understands that this landfill is awaiting final decision from the WA Minister for

¹³ City of Wanneroo, [Advocacy – Neerabup Resource Recovery Precinct](#), accessed 10 June 2025.

the Environment and construction is yet to commence. The ACCC is not aware of any other likely new entrants.

90. The ACCC also views that the broader shift away from landfill arising from the WA Government's waste policy and targets is likely to limit the incentive to establish new landfills in the future.

ACCC considering likely effects of the proposed acquisition

91. The ACCC's preliminary view is that the proposed acquisition is likely to have the effect of substantially lessening competition, with the potential for price and non-price effects.

Price effects

92. The ACCC is concerned that the reduction of competition in the supply of putrescible waste disposal services will allow the WtE facilities to increase prices for putrescible waste disposal above competitive levels.
93. The East Rockingham Project and Kwinana WtE facilities are close competitors. They provide putrescible disposal services that recover energy from waste and are located close to one another. There are no other WtE facilities in the Perth and Peel region. Landfills may be unlikely to provide a strong competitive constraint on these WtE facilities, at least with respect to certain types of customers, as they do not recover energy from waste and are subject to a landfill levy that may increase in future. As such, Acciona may be able to set prices for both WtE facilities higher than if the WtE facilities were under separate ownership and competed against each other for waste volumes.
94. The ACCC is considering whether existing long-term contracts, which apply to some customers, may mitigate these concerns by locking in pricing for a number of years. However, the ACCC notes that even if this was the case, it may not address the impact of the proposed acquisition on the prices received by prospective customers or existing customers without long-term contracts.

Non-price effects

95. The ACCC is also concerned that, if the proposed acquisition proceeds, Acciona may be able to reduce the service offering at each of the WtE facilities in the absence of effective competition.
96. This could include, for example, by limiting the hours within which waste can be delivered to a facility, directing waste to be delivered to one facility rather than the other, or including other less favourable terms in contracts with customers.
97. The ACCC is exploring whether existing long-term contracts may somewhat limit these effects by mandating service standards, but notes that this would not apply to uncommitted capacity at each of the WtE facilities.

Questions for market participants

The ACCC invites market participants to comment on its concerns in relation to the potential for reduced competition in putrescible waste disposal services. Market participants may wish to comment on:

- the extent to which landfills compete with WtE facilities, including the extent to which WA Government policy and the landfill levy influence this competition

- how closely the East Rockingham Project and Kwinana WtE currently compete and are likely to compete in the future, and how this may be impacted by significant contracted capacity
- the potential for the East Rockingham Project and Kwinana WtE facilities to increase their capacity or for new WtE facilities to be commissioned, including related timeframes
- the likelihood and potential impact of waste policy changes, such as further increases to the landfill levy or a mandate to dispose of a minimum proportion of waste via WtE.

Issue unlikely to raise concerns: Reduced competition for the supply of wholesale electricity to the Wholesale Electricity Market

98. The ACCC's preliminary view is that the proposed acquisition is unlikely to substantially lessen competition in the supply of wholesale electricity to the Wholesale Energy Market (WEM). The WEM supplies electricity to the south-west of Western Australia
99. Both East Rockingham WtE and Kwinana WtE would supply up to 65MW of electricity to the WEM. This constitutes less than 1% of the 5,859 MW of registered generation capacity according to the Australian Energy Markets Operator.
100. The ACCC has not found any evidence supporting a view that generation from WtE was a separate submarket in the supply of wholesale electricity.
101. The proposed transaction would therefore amount to an insignificant increase in concentration in this market.

Issue unlikely to raise concerns: Reduced competition in the supply of fly ash

102. The ACCC's preliminary view is that the proposed acquisition is unlikely to substantially lessen competition in the supply of fly ash in any market.
103. Fly ash is a byproduct of power generation, primarily from coal fired power stations. Australia also imports ash from other countries, according to waste import figures from the Department of Climate Change, Energy, the Environment and Water. It is then used for products used in civil construction such as structural cement blocks and road base.
104. Based on current information, together, the Kwinana WtE and East Rockingham WtE will likely face significant constraint in the supply of fly ash by other generators of fly ash, namely power stations across Australia and foreign imports.

ACCC's future steps

105. As noted above, the ACCC invites submissions from market participants on each of the issues identified in this Statement of Issues and on any other issue

that may be relevant to the ACCC's assessment of this matter. Submissions should be emailed to mergers@accc.gov.au by no later than **31 July 2025**.

106. The ACCC will finalise its view on this matter after it considers submissions invited by this Statement of Issues.
107. The ACCC intends to publicly announce its final view by **11 September 2025**. However, the anticipated timeline may change in line with the *Informal Merger Review Process Guidelines*. A Public Competition Assessment explaining the ACCC's final view may be published following the ACCC's public announcement.